

9.4 It's the money, honey

(<http://www.kiva.org/>)

In the old days, you needed to be a Rockefeller or a Ford or a Tata to be able to influence lives of people thousands of miles away. Not any more. With the advent of the Internet, even a teacher or a housewife can. Kiva is a social network that connects businesses in the developing countries in need of cash with people who are willing to provide loans. Using this site people have loaned to small businesses like a bakery in Afghanistan and a rice beer maker in Vietnam.

Kiva is a non profit organization which has microfinance institutions as partners in the developing world. These microfinance institutions solicit interest free loans through Kiva for local businesses. The featured businesses has



The Kiva homepage

details like name of entrepreneur, location, activity, amount of money, repayment range and purpose. People who are logged in can search for entrepreneurs to lend to. Once they have made their choice they have the option of loaning cash in increments of \$25 to the microfinance institutions who then pass it on to the business. Most loan requests are in the range of \$1,000 or less and almost all of them get repaid. Once a lender gets a loan back he/she can re-loan to the same business or adopt another entrepreneur. A portfolio tab enables lenders to manage their contributions and get updates on repayments. The homepage features individual businesses and lenders and it is updated frequently. The journal features success stories of people who repaid their loans and also recommendations from microfinance institutions for businesses seeking loans. Contact information is provided in all the cases. Security issues regarding wire transfer are handled through the use of Pay Pal account.